

C O P Y

DEC 17 1943

- 3 -

Secretary Morgenthau

Mr. Paul

You have requested me to review again the developments relating to the program of the World Jewish Congress for the evacuation of a large number of Jews from Rumania and France, particularly in the light of Secretary Hull's letter of December 6, 1943.

In Secretary Hull's letter of December 6 the State Department disclaims responsibility for the delays which have occurred in connection with bringing into effect the financial arrangements of this program. Instead his letter would indicate that Treasury is responsible for the delays because;

- (1) Treasury has never formulated a workable proposal for financing such a program; and
- (2) Treasury has never obtained British approval of the program.

After carefully reviewing again our file in this matter we feel that the conclusions arrived at by Secretary Hull are predicated upon his incomplete knowledge of the facts.

I. Treasury has formulated a workable proposal for financing the program.

(a) The analysis of the financial arrangements contained in Secretary Hull's letter, including the point which he makes to the effect that the fundamental details have not been sufficiently developed to permit the issuance of a license, is inaccurate.

It is true that in the cable of August 6, 1943 (1889), the Treasury merely stated that it was prepared to issue a license covering the plan, subject to certain stipulated conditions, and that at this point certain details had not been sufficiently worked out to warrant the issuance of a